Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Six months ended June 30, 2005 and 2004

CANADA BREAD COMPANY, LIMITED

DRAFT Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at June 30, 2005	As at June 30, 2004	As at December 31, 2004
	(Unaudited)	(Unaudited) (As restated) (Note 2 (a))	(As restated) (Note 2(a))
ASSETS			
Current assets			
Cash and cash equivalents	**$ 33,231**	$ 33,121	$ 9,312
Accounts receivable (Note 4)	**35,434**	25,803	24,148
Due from Maple Leaf Foods Inc.	**–**	2,433	–
Inventories	**33,014**	34,967	33,504
Future tax asset – current	**6,723**	6,214	5,193
Prepaid expenses and other assets	**5,233**	5,388	2,103
	113,635	107,926	74,260
Property and equipment	**362,402**	341,017	354,128
Other long-term assets	**2,799**	2,606	3,386
Future tax asset – non-current	**7,524**	3,774	5,465
Goodwill	**322,715**	338,646	324,237
Other intangibles	**5,661**	7,809	6,167
	$ 814,736	$ 801,778	$ 767,643
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Accounts payable and accrued charges	**$ 143,101**	$ 149,398	$ 149,410
Due to Maple Leaf Foods Inc.	**256**	–	140
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**18,419**	8,068	26,501
Current portion of long-term debt (Note 5)	**123,130**	704	91,482
	286,431	159,695	269,058
Long-term debt (Note 5)	**282**	163,926	344
Future tax liability	**24,220**	32,558	21,780
Shareholders' equity	**503,803**	445,599	476,461
	$ 814,736	$ 801,778	$ 767,643

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

DRAFT Consolidated Statement of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended June 30, **2005**	2004	Six months ended June 30, **2005**	2004
Sales	**$ 344,610**	$ 329,668	**$ 661,471**	$ 635,080
Earnings from operations before restructuring costs	**30,465**	23,412	**52,490**	42,790
Restructuring costs (Note 3)	**–**	–	**4,723**	–
Earnings from operations	**30,465**	23,412	**47,767**	42,790
Other income (expense)	**656**	(18)	**964**	94
Earnings before interest and income taxes	**31,121**	23,394	**48,731**	42,884
Interest expense	**1,690**	1,537	**3,391**	2,924
Earnings before income taxes	**29,431**	21,857	**45,340**	39,960
Income taxes	**8,169**	6,058	**12,193**	11,612
Net earnings for the period	**$ 21,262**	$ 15,799	**$ 33,147**	$ 28,348
Earnings per share - Basic	**$ 0.84**	$ 0.62	**$ 1.30**	$ 1.11
Earnings per share - Diluted	**$ 0.83**	$ 0.61	**$ 1.29**	$ 1.09
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.12**	$ 0.12
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

DRAFT Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

(Unaudited)	Six months ended June 30, **2005**	2004
Retained earnings, beginning of period	**$ 337,827**	$ 277,279
Net earnings for the period	**33,147**	28,348
Dividends declared	**(3,050)**	(3,050)
Retained earnings, end of period	**$ 367,924**	$ 302,577

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

DRAFT Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended June 30, **2005**	2004	Six months ended June 30, **2005**	2004
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ 21,262**	$ 15,799	**$ 33,147**	$ 28,348
Add (deduct) items not affecting cash:				
Depreciation and amortization	**10,611**	10,329	**21,210**	20,773
Future income taxes	**(536)**	(367)	**(1,149)**	(655)
Loss (gain) on sale of property and equipment	**(629)**	66	**(881)**	(8)
Other	**1,676**	(169)	**1,780**	(127)
Change in operating working capital	**(1,951)**	7,163	**(27,617)**	13,051
	30,433	32,821	**26,490**	61,382
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(3,050)**	(3,050)
Change in long-term debt	**3,282**	(15,250)	**28,506**	(12,479)
	1,757	(16,775)	**25,456**	(15,529)
Investing activities				
Additions to property and equipment	**(20,666)**	(13,928)	**(32,606)**	(24,530)
Proceeds from sale of property and equipment	**2,292**	31	**4,361**	719
Sale (purchase) intangible assets	**344**	(325)	**218**	(449)
	(18,030)	(14,222)	**(28,027)**	(24,260)
Increase in cash and cash equivalents	**14,160**	1,824	**23,919**	21,593
Cash and cash equivalents, beginning of period	**19,071**	31,297	**9,312**	11,528
Cash and cash equivalents, end of period	**$ 33,231**	$ 33,121	**$ 33,231**	$ 33,121

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

DRAFT Segmented Financial Information

(In thousands of Canadian dollars)

(Unaudited)	Three months ended June 30, **2005**	Three months ended June 30, 2004	Six months ended June 30, **2005**	Six months ended June 30, 2004
Sales				
Fresh Bakery	**$ 247,047**	$ 234,552	**$ 467,860**	$ 445,182
Frozen Bakery	**97,563**	95,116	**193,611**	189,898
	$ 344,610	$ 329,668	**$ 661,471**	$ 635,080
Earnings from operations, before restructuring costs				
Fresh Bakery	**$ 25,718**	$ 16,912	**$ 40,738**	$ 26,827
Frozen Bakery	**4,747**	6,500	**11,752**	15,963
	$ 30,465	$ 23,412	**$ 52,490**	$ 42,790
Additions to property and equipment				
Fresh Bakery	**$ 8,284**	$ 8,074	**$ 12,465**	$ 12,896
Frozen Bakery	**12,382**	5,854	**20,141**	11,634
	$ 20,666	$ 13,928	**$ 32,606**	$ 24,530
Depreciation and amortization				
Fresh Bakery	**$ 5,552**	$ 5,286	**$ 11,174**	$ 10,607
Frozen Bakery	**5,059**	5,043	**10,036**	10,166
	$ **10,611**	$ 10,329	$ **21,210**	$ 20,773

	As at June 30, 2005	As at June 30, 2004	As at December 31, 2004
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 412,693**	$ 410,964	$ 395,355
Frozen Bakery	**385,094**	381,811	364,919
Non-allocated assets	**16,949**	9,003	7,369
	$ 814,736	$ 801,778	$ 767,643

CANADA BREAD COMPANY, LIMITED

DRAFT Notes to Consolidated Financial Statements
(Tabular amounts in thousands of Canadian dollars)

Three months and six months ended June 30, 2005 and 2004

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1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at June 30, 2005.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2004. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2004, except for the following:

(a) Convertible debentures

Effective January 1, 2005 the company adopted the amendment to Canadian accounting principles, section 3860 – "Financial Instruments – Disclosure and Presentation" on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revised standard, the company retroactively reclassified $20 million of convertible debt as a liability on the balance sheet. The Company had previously included the $20 million related to a debt facility with Maple Leaf in equity, due to the fact that it can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

(b) Variable interest entities

The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this standard did not have a material impact on the Company.

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(c) Comparative figures

Certain 2004 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2005.

3. RESTRUCTURING COSTS

During the first quarter of 2005, the Company recorded a $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf.

4. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2005, trade accounts receivable being serviced under this program amounted to $70.0 million (June 30, 2004: $70.0 million; December 31, 2004: $70.0 million).

5. LONG-TERM DEBT

As at June 30, 2005, the Company had $123.4 million outstanding in long-term debt of which $84.3 million (June 30, 2004: $86.4 million; December 31, 2004: $90.8 million) was due to Maple Leaf.

6. PENSIONS

During the quarter, the Company recorded $2.5 million related to net benefit plan expense (2004: $2.1 million). For the first six months of 2005, the Company recorded $4.8 million in net benefit plan expense (2004: $4.3 million).

7. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended June 30,		Six months ended June 30,	
	2005	2004	**2005**	2004
Interest paid	**$ 1,627**	$ 2,645	**$ 3,861**	$ 3,735
Income taxes paid	**5,307**	1,924	**20,497**	9,287

8. GOODWILL

Commencing January 1, 2002, in accordance with Canadian accounting standards section 3062, "Goodwill and Other Intangible Assets", the company tests goodwill for possible impairment on an annual basis and at any other time if an event occurs or circumstances change that would more likely than not reduce the fair value of a reporting unit below its carrying amount. During the second quarter of 2005, the company completed the goodwill impairment test for all reporting units. The results of this test have indicated there is no impairment.